Daiwa Capital Markets Hong Kong Limited

M31 Technology (6643 TT)

Target price: **TWD550.00** (from TWD645.00)

Share price (10 Nov): **TWD390.50** | Up/downside: **+40.8%**

5 4 3 2 **1**

Buy (unchanged)

Structural turnaround round the corner (III)

- Lowering our forecasts to reflect still suboptimal scale…
- … but expecting enriched license projects to bear fruit soon
- Reiterating our Buy (1) rating with a lower 12M TP of TWD550

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What's new: Following on our *results Memo,* we lower our forecasts and TP for M31, as we factor in its still suboptimal scale and delayed employment bonus in 3Q26 that weigh on its trajectory of a bottom-line turnaround. That said, we remain comfortable with our Buy (1) call on the stock as we expect M31's turnaround, kicking off from 3Q26 despite at a small scale, to sustain into 2027 with meaningful incremental builds, supported by its conversion from license to royalty revenue paying off, and broadened footprint into advanced technologies for price accretion and into diversified foundry, IDM, and fabless customers for volume accretion.

What's the impact: **Forecast changes.** We lower our 2026-27E EPS for M31 by 14-43% to embed its still suboptimal scale and opex overhang in our model. Despite the cuts, its bottom-line turnaround met our expectation, and we expect the turnaround to sustain with meaningful incremental builds sequentially through 2027 to improve market confidence. We forecast its 4Q26 top line to rebound by 23% QoQ (+12% YoY) for EPS to reach TWD3.31 (TWD0.35 in 3Q26), setting a good start for M31's 2027 outlook and warranting a strong 213% EPS CAGR over 2026-28E.

Turnaround confirmed. While prolonged license project recognitions delayed M31's turnaround, depicted in *our previous Flash*, we believe its bumpy operations over the past 2 years is finally coming to an end, evidenced by management's comments of QoQ revenue growth for 4Q26 with EPS expanding to cover accumulated losses YTD. M31 has actively invested over the past years enriching its IP portfolio, accumulating more than 2,000 license projects since 2012 (chart on p.2), and setting a good foundation for converting them to royalty revenue. It aims for the royalty revenue to outgrow license revenue in the next few quarters, after years of "cooking". Meanwhile, two structural growth drivers remain intact for ASP and volume accretion: 1) for ASP, a growing number of high-value projects from advanced process nodes to enhance M31's IP portfolio for ASP accretion, and 2) for volume, an increased diversification of customer base globally to broaden its addressable markets for volume accretion.

What we recommend: Given our forecast revisions, we lower our 12M TP for M31 to TWD550 (previous: TWD645), still based on our 4-quarter forward PER of 45x. We reaffirm our Buy (1) rating with key downside risks of silicon inflation and geopolitical overhang leading to global inflation and AI capex cut to delay M31's royalty ramps.

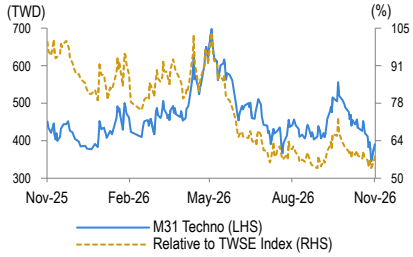
How we differ: Our 2027E EPS is 52% above the consensus, likely due to our more positive view on royalty revenue ramp.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(2.5)	(1.0)	(1.0)
Net profit change	(42.6)	(12.5)	(0.9)
Core EPS (FD) change	(43.3)	(13.5)	(2.2)

Source: Daiwa forecasts

Share price performance



12-month range	345.50-697.00
Market cap (USDbn)	0.51
3m avg daily turnover (USDm)	8.72
Shares outstanding (m)	43
Major shareholder	Huey-Ling Chen (21.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	1,922	2,660	3,358
Operating profit (m)	82	767	1,174
Net profit (m)	104	675	1,023
Core EPS (fully-diluted)	2.437	15.839	24.015
EPS change (%)	44.3	549.8	51.6
Daiwa vs Cons. EPS (%)	(47.5)	51.7	(0.9)
PER (x)	160.2	24.7	16.3
Dividend yield (%)	0.3	2.6	3.8
DPS	1.2	10.0	15.0
PBR (x)	8.5	7.6	6.4
EV/EBITDA (x)	100.5	18.8	12.3
ROE (%)	5.4	32.5	42.7

Source: FactSet, Daiwa forecasts

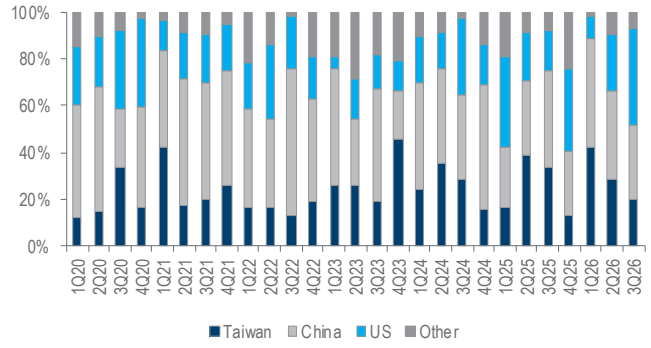
See important disclosures, including any required research certifications, beginning on page 6

M31: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**395**	**422**	**495**	**610**	**524**	**587**	**734**	**815**	**1,782**	**1,922**	**2,660**	**3,358**
License	323	347	406	500	432	467	580	633	1,517	1,576	2,111	2,552
Royalty	71	75	89	110	92	121	154	182	265	345	549	806
COGS	0	0	0	0	0	0	0	0	0	0	0	0
Gross profit	395	422	495	610	524	587	734	815	1,782	1,922	2,660	3,358
Opex	-461	-439	-488	-452	-466	-477	-477	-473	-1,689	-1,839	-1,893	-2,183
Operating profit	-66	-17	7	158	58	111	257	342	93	82	767	1,174
Pretax profit	-47	-4	16	164	63	117	264	349	94	129	794	1,211
Income taxes	-2	1	-1	-23	-10	-18	-40	-52	-23	-25	-119	-188
Net profit	-49	-3	15	141	54	100	224	297	71	104	675	1,023
EPS (TWD, basic)	-1.18	-0.07	0.35	3.31	1.27	2.34	5.26	6.97	1.69	2.44	15.84	24.02
EPS (TWD, fully diluted)	**-1.18**	**-0.07**	**0.35**	**3.31**	**1.27**	**2.34**	**5.26**	**6.97**	**1.69**	**2.44**	**15.84**	**24.02**
Revenue mix												
License	82%	82%	82%	82%	82%	79%	79%	78%	85%	82%	79%	76%
Royalty	18%	18%	18%	18%	18%	21%	21%	22%	15%	18%	21%	24%
Margin												
Gross profit	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Opex	-117%	-104%	-99%	-74%	-89%	-81%	-65%	-58%	-95%	-96%	-71%	-65%
Operating profit	-17%	-4%	1%	26%	11%	19%	35%	42%	5%	4%	29%	35%
Net profit	-12%	-1%	3%	23%	10%	17%	31%	36%	4%	5%	25%	30%
Growth (QoQ)												
Revenue	-27%	7%	17%	23%	-14%	12%	25%	11%				
Gross profit	-27%	7%	17%	23%	-14%	12%	25%	11%				
Operating profit	-170%	-75%	-143%	nm	-64%	92%	132%	33%				
Net profit	-150%	-94%	nm	nm	-62%	85%	125%	32%				
EPS (basic)	-150%	-94%	nm	nm	-62%	85%	125%	32%				
EPS (FD)	-150%	-94%	nm	nm	-62%	85%	125%	32%				
Growth (YoY)												
Revenue	-9%	-6%	40%	12%	33%	39%	48%	34%	20%	8%	38%	26%
Gross profit	-9%	-6%	40%	12%	33%	39%	48%	34%	20%	8%	38%	26%
Operating profit	nm	-143%	-115%	67%	-187%	nm	nm	116%	75%	-12%	nm	53%
Net profit	-352%	-93%	-297%	42%	-210%	nm	nm	110%	-44%	47%	nm	52%
EPS (basic)	-352%	-93%	-296%	39%	-207%	nm	nm	110%	-45%	44%	nm	52%
EPS (FD)	-352%	-93%	-294%	39%	-208%	nm	nm	110%	-44%	44%	nm	52%

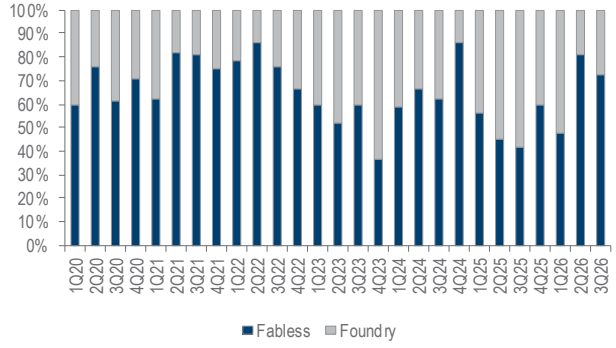
Source: Company, Daiwa estimates and forecasts

M31: revenue mix by region



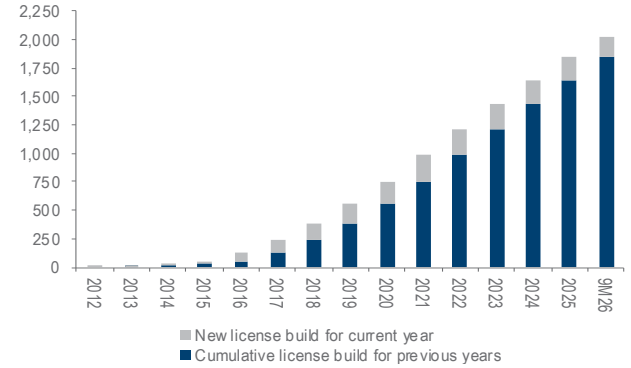
Source: Company

M31: revenue mix by customer



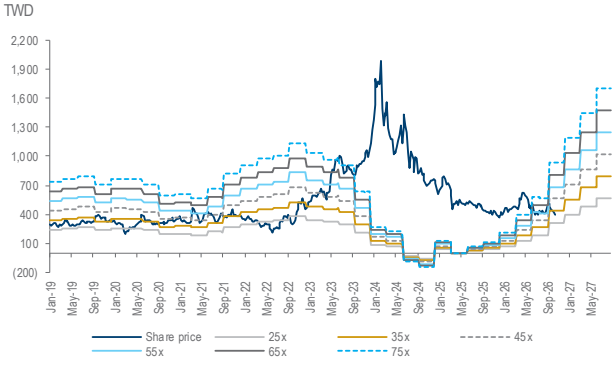
Source: Company

M31: number of license project build



Source: Company

M31: 4-quarter-forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Licensing growth (%)	(1.0)	24.4	26.0	(7.8)	22.2	3.9	33.9	20.9
Royalty growth (%)	35.0	90.5	(8.9)	(9.7)	10.7	30.1	59.1	46.7

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Licensing	859	1,069	1,347	1,241	1,517	1,576	2,111	2,552
Royalty	153	291	265	240	265	345	549	806
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**1,012**	**1,360**	**1,612**	**1,481**	**1,782**	**1,922**	**2,660**	**3,358**
Other income	0	0	0	0	0	0	0	0
COGS	0	0	0	0	0	0	0	0
SG&A	(153)	(178)	(225)	(280)	(337)	(409)	(380)	(443)
Other op.expenses	(546)	(814)	(940)	(1,148)	(1,352)	(1,430)	(1,513)	(1,741)
Operating profit	**313**	**368**	**446**	**53**	**93**	**82**	**767**	**1,174**
Net-interest inc./(exp.)	(1)	10	29	28	18	18	27	37
Assoc/forex/extraord./others	(19)	65	37	69	(17)	29	0	0
Pre-tax profit	**294**	**443**	**513**	**150**	**94**	**129**	**794**	**1,211**
Tax	(41)	(64)	(78)	(23)	(23)	(25)	(119)	(188)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**253**	**379**	**435**	**127**	**71**	**104**	**675**	**1,023**
Net profit (adjusted)	**253**	**379**	**435**	**127**	**71**	**104**	**675**	**1,023**
EPS (reported)(TWD)	**6.096**	**9.173**	**10.401**	**3.047**	**1.690**	**2.437**	**15.839**	**24.015**
EPS (adjusted)(TWD)	**6.096**	**9.173**	**10.401**	**3.047**	**1.690**	**2.437**	**15.839**	**24.015**
EPS (adjusted fully-diluted)(TWD)	**6.096**	**9.032**	**10.401**	**3.036**	**1.689**	**2.437**	**15.839**	**24.015**
DPS (TWD)	**8.000**	**4.784**	**6.061**	**6.693**	**2.001**	**1.200**	**10.000**	**15.000**
EBIT	**313**	**368**	**446**	**53**	**93**	**82**	**767**	**1,174**
EBITDA	**353**	**415**	**496**	**117**	**168**	**160**	**851**	**1,270**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	294	443	513	150	94	129	794	1,211
Depreciation and amortisation	40	47	49	63	75	78	83	96
Tax paid	(41)	(64)	(78)	(23)	(23)	(25)	(119)	(188)
Change in working capital	(65)	(11)	(54)	(100)	(76)	(65)	(201)	(5)
Other operational CF items	(4)	236	(189)	(43)	(43)	0	0	0
Cash flow from operations	**225**	**652**	**241**	**47**	**26**	**117**	**557**	**1,114**
Capex	(533)	(31)	(34)	(80)	(48)	(58)	(80)	(101)
Net (acquisitions)/disposals	0	0	142	0	0	0	0	0
Other investing CF items	219	(154)	225	(13)	94	(5)	(5)	(5)
Cash flow from investing	**(314)**	**(186)**	**332**	**(93)**	**46**	**(63)**	**(85)**	**(106)**
Change in debt	89	(89)	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(332)	(198)	(254)	(279)	(84)	(51)	(426)	(639)
Other financing CF items	108	56	(5)	(10)	(15)	0	0	0
Cash flow from financing	**(134)**	**(232)**	**(259)**	**(289)**	**(98)**	**(51)**	**(426)**	**(639)**
Forex effect/others	3	5	(12)	15	(5)	0	0	0
Change in cash	**(220)**	**239**	**302**	**(320)**	**(31)**	**3**	**46**	**369**
Free cash flow	(308)	620	207	(34)	(22)	59	477	1,013

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	724	1,114	1,148	682	558	561	607	976
Inventory	0	0	0	0	0	0	0	0
Accounts receivable	319	325	374	263	336	416	616	626
Other current assets	89	220	133	260	346	346	346	346
Total current assets	**1,132**	**1,659**	**1,654**	**1,205**	**1,240**	**1,322**	**1,569**	**1,948**
Fixed assets	683	571	562	592	605	592	595	607
Goodwill & intangibles	8	11	12	18	29	28	26	24
Other non-current assets	114	126	169	345	289	289	289	289
Total assets	**1,937**	**2,367**	**2,397**	**2,159**	**2,163**	**2,231**	**2,479**	**2,868**
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	6	2	5	2	2	17	16	21
Other current liabilities	264	503	321	215	247	247	247	247
Total current liabilities	**270**	**505**	**326**	**217**	**249**	**264**	**263**	**268**
Long-term debt	83	0	0	0	0	0	0	0
Other non-current liabilities	0	5	8	23	14	14	14	14
Total liabilities	**353**	**510**	**334**	**240**	**263**	**278**	**277**	**282**
Share capital	316	317	348	418	418	418	418	418
Reserves/R.E./others	1,268	1,540	1,715	1,501	1,482	1,535	1,784	2,168
Shareholders' equity	**1,584**	**1,857**	**2,063**	**1,919**	**1,900**	**1,953**	**2,202**	**2,586**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**1,937**	**2,367**	**2,397**	**2,159**	**2,163**	**2,231**	**2,479**	**2,868**
EV	15,999	15,525	15,491	15,957	16,081	16,078	16,032	15,663
Net debt/(cash)	**(641)**	**(1,114)**	**(1,148)**	**(682)**	**(558)**	**(561)**	**(607)**	**(976)**
BVPS (TWD)	**38.211**	**44.927**	**49.307**	**46.084**	**45.496**	**45.839**	**51.678**	**60.693**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.1	34.4	18.5	(8.2)	20.3	7.8	38.4	26.2
EBITDA (YoY)	(23.3)	17.6	19.3	(76.5)	43.9	(4.7)	431.5	49.3
Operating profit (YoY)	(25.2)	17.6	21.3	(88.1)	75.0	(11.6)	831.8	53.0
Net profit (YoY)	(21.6)	50.1	14.7	(70.8)	(44.4)	47.1	549.8	51.6
Core EPS (fully-diluted) (YoY)	(22.3)	48.2	15.2	(70.8)	(44.4)	44.3	549.8	51.6
Gross-profit margin	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
EBITDA margin	34.9	30.5	30.7	7.9	9.4	8.3	32.0	37.8
Operating-profit margin	30.9	27.1	27.7	3.6	5.2	4.3	28.8	35.0
Net profit margin	25.0	27.9	27.0	8.6	4.0	5.4	25.4	30.5
ROAE	16.3	22.0	22.2	6.4	3.7	5.4	32.5	42.7
ROAA	13.7	17.6	18.3	5.6	3.3	4.7	28.7	38.3
ROCE	19.7	20.9	22.8	2.7	4.9	4.3	36.9	49.1
ROIC	43.0	37.4	45.7	4.2	5.4	n.a.	n.a.	n.a.
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	13.9	14.4	15.2	15.6	24.8	19.7	15.0	15.5
Accounts receivable (days)	103.5	86.4	79.1	78.5	61.3	71.3	70.7	67.5
Current ratio (x)	4.2	3.3	5.1	5.5	5.0	5.0	6.0	7.3
Net interest cover (x)	593.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	102.9	103.1	88.3	76.6	65.8	72.4	410.3	94.7
Free cash flow yield	n.a.	3.7	1.2	n.a.	n.a.	0.4	2.9	6.1

Source: FactSet, Daiwa forecasts

Company profile

Founded in 2011, M31 is an independent semiconductor IP provider in Taiwan, offering both foundation IP for specialty technology nodes and functional IP such as high-speed interface and analogue IP.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	M31's board of directors (BoD) has 7 members, including 3 independent directors, who represent 43% of total directors, higher than the regulatory requirement of at least 20%. Its Chairman and President are not the same person, but its President is one of the directors. M31 has the Audit Committee, Compensation Committee and Risk Control Committee under the BoD.
	Capital management	1	Although M31 is a young company (founded in 2011 and listed in 2019), its dividend payout ratio has been over the 75% level for the past 5 years. M31 is a semiconductor IP provider without onsite production activities, which would require high capex to do so. As such, we view its high dividend payout ratio to be appropriate.
	Related party & transaction	1	We do not see any meaningful impact from related-party transactions.
S	Supply chain management	2	M31's suppliers are required to comply with the Supplier Management Standards, which was set by M31 in 2013. In addition, M31 has periodical evaluations for its suppliers and onsite audits to ensure the quality and implementation of Corporate Social Responsibility (CSR), as well as Environmental Protection and Safety and Integrity Policies.
E	Water & wastewater management	1	M31 is a semiconductor IP provider without physical products, and thus no production activity to affect the environment.
E	Waste & hazardous materials management	1	The company is a semiconductor IP provider without physical products, and thus no production activity to affect the environment. It still adopts some measures to reduce waste from its operations, such as recycling and using electronic files to replace paper documents as much as possible to reduce the use of paper.
E	GHG emissions	1	M31 is a semiconductor IP provider without physical products, and thus no production activity to affect the environment.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Mar 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
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Hold**	19.58%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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